

European Cross-Commodity Risk Pack: Gas + Carbon → Power Curve Implications

Daily desk brief — 2026-05-08

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Generated by *scripts/generate_brief.py*. AI narrative + news themes via Anthropic Claude.

Data-freshness caveat: Clean Dark (last 2025-12-31, 128d old); Coal (last 2025-12-26, 133d old). Numbers below should be read with this in mind.

1 · Executive summary

TL;DR — GB Power at 93rd-percentile despite -8% selloff; Clean Spark 92nd-ptile on tight renewable supply; Hormuz reopening risk and Libya gas pivotal for TTF bear case.

GB Power sits at the 93rd percentile despite overnight weakness, underpinned by renewable collapse to 18th-ptile that has driven Clean Spark to 92nd-ptile while coal spreads languish at 8th-ptile with data stale as of end-December. Storage remains 12.4 percentage points below seasonal at 34.5%, compressing gas-to-power arbitrage and tightening the thermal baseload call, though EU Commission weakening of methane enforcement rules under US pressure offers marginal upside to gas supply economics that indirectly dampens fuel-switch incentive. TTF holds flat around 43–44 EUR/MWh as offsetting pressures mount: Hormuz reopening potential and Libya production ramp-up weigh on the bear case, while storage deficit and renewable volatility anchor near-term tightness. With Hormuz tail-risk mobilizing under Trump administration policy, gas tightness from subnormal storage and compressed carbon policy combine to keep thermal spreads in-the-money on the front curve, yet geopolitical corridor reopening pins Cal+1 regime to a flattened rather than extended posture.

Generated by claude-haiku-4-5 via Anthropic API (two-pass extract→narrate). Prompts/responses logged to *ai/logs/*. Next-5d temperature anomaly — DE -2.3°C / FR +0.0°C / GB -0.8°C vs 5-yr seasonal normal (Open-Meteo).

2 · Monitor metrics

Primary (cross-commodity headline tiles)

Metric	As of	Latest	Unit	1d Δ	1w Δ	5y pctl	Headline
TTF Gas	2026-05-07	43.56	EUR/MWh	-0.78%	+1.04%	56	Within typical range
EU Storage	2026-05-07	34.51	% full	+0.73%	+4.22%	11	12.4 pp below the 5-yr seasonal average
EUA Carbon	2026-05-07	31.54	EUR/tCO2	-1.47%	+1.75%	26	Within typical range
DE Power	2026-05-08	138.00	EUR/MWh	+1.42%	+93.57%	76	Within typical range
GB Power	2026-05-08	126.73	EUR/MWh	-7.99%	+22.64%	93	93th-percentile of 5-yr range — historically high
Renewables	2026-05-07	27.07	% of load	-32.82%	-41.24%	18	Within typical range

Metric	As of	Latest	Unit	1d Δ	1w Δ	5y pctile	Headline
Clean Spark	2026-05-08	39.27	EUR/MWh	+1.94	+78.90	92	92th-percentile of 5-yr range — historically high
Clean Dark	2025-12-31 (STALE)	27.95	EUR/MWh	-0.56	+11.63	50	Within typical range

Fundamentals inputs (feed derived metrics; not separately traded)

Metric	As of	Latest	Unit	1d Δ	1w Δ	5y pctile	Headline
Coal	2025-12-26 (STALE)	96.00	USD/t	-0.57%	+0.08%	8	8th-percentile of 5-yr range — historically low

Spreads → abs EUR/MWh deltas; others → pct. Weekly Δ uses 5d trailing means. Full history in *data/<metric>.csv*.

3 · Gas + LNG arb

TTF front-month prints at 43.56 EUR/MWh — Within typical range. EU storage at 34.5% full (-12.4 pp vs 5-yr seasonal avg) — 12.4 pp below the 5-yr seasonal average. TTF – JKM (LNG arb) at -5.42 EUR/MWh (JKM 16.84 USD/MMBtu) — JKM richer than TTF — Asia pulls cargoes, marginal European tightening risk.

4 · Carbon (EU ETS)

EUA December prints at 31.54 EUR/tCO₂ — Within typical range. A euro of EUA adds ~0.37 EUR/MWh to gas-fired and ~0.85 EUR/MWh to coal-fired generation cost; strength compresses the dark spread faster than the spark.

EU vs UK ETS — Cobblestone's emissions desk trades EUA and UKA. Post-Brexit auction reform narrowed the UKA discount to EUA from £20+/t to single-digit £/t; CBAM phase-in pulls UK compliance demand toward parity. EUA–UKA basis remains a tradable cross-market signal.

Supply / policy signal — EU Commission weakens methane enforcement rules under US pressure; energy-security exemptions for oil firms breach authorization.

Side: policy · Polarity: neutral · Source: Politico EU Energy

Relaxed methane rules reduce compliance cost for gas producers; marginal upside to gas supply economics dampens fuel-switch incentive, indirectly supporting EUA via lower coal displacement.

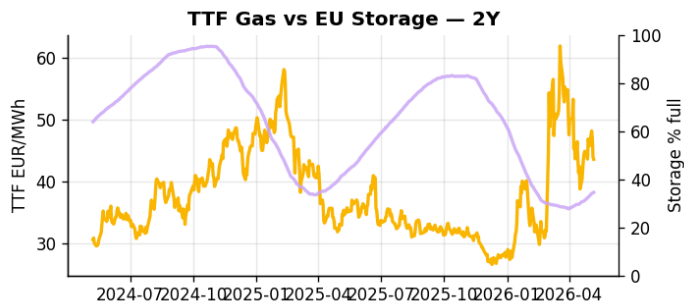
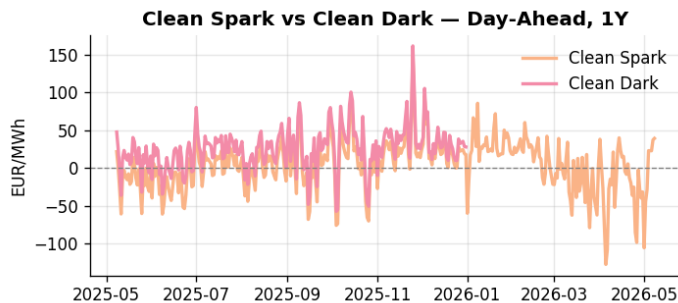
Surfaced from today's news flow by the AI extract pass (*ai/prompts/extract_v1.md* → *carbon_policy_signal*).

5 · Power — Day-Ahead & curve

DE day-ahead baseload at 138.00 EUR/MWh — Within typical range. GB day-ahead baseload at 126.73 EUR/MWh — 93th-percentile of 5-yr range — historically high. DE – GB spread at +11.27 EUR/MWh (DE premium) — drives interconnector flow direction. Cross-border net flows (Power Transportation): DE↔FR -43.8 GWh (FR export); GB↔FR -73.2 GWh (FR export); NL↔DE +74.0 GWh (NL export).

Clean spark spread at +39.27 EUR/MWh — 92th-percentile of 5-yr range — historically high. Bridge from gas + carbon fundamentals to gas-fired economics; sustained positive spark = TTF moves transmit directly into the power curve.

Curve shape: DA → W+1 → M+1 → Q+1 → Cal+1 → Cal+2 = 138 / 91 / 91 / 91 / 91 / 91 EUR/MWh — Backwardation (DA – Cal+1 spread +47 EUR/MWh). Forwards are seasonality projections — see Methodology.



This week ahead

- Fri 14:30 UTC — EIA weekly natural gas storage report: US storage trajectory anchors LNG export pricing into NW Europe — direct TTF transmission.
- Fri — ENTSO-E weekly day-ahead volumes / system-balance summary: Reads the European generation mix in last 7d — confirms or breaks the Cal+1 thesis.
- Tue 08:00 UTC — AGSI+ daily storage print: First read on the week's gas injection / withdrawal pace; sets the tone for TTF curve shape.
- Fri — Hormuz corridor operational status update: Trump administration actively mobilizing; any confirmed reopening eases LNG/crude flows, bearish power and TTF. (news-extracted)

Scenarios (24-72h horizon)

	Summary	TTF	DE Power
Base	Renewables stabilize; GB and Clean Spark drift lower on normalization; TTF flat around 43–44 EUR/MWh.	-1 to +1%	-2 to +2%
Upside	Hormuz closure escalation confirmed; Iran supply disruption widens; LNG scarcity premium reasserts on TTF and power.	+8 to +12%	+6 to +10%
Downside	Hormuz reopening progresses; Libya ramp accelerates; Renewable output rebounds; storage refill pace eases pressure.	-5 to -8%	-4 to -6%

Illustrative, not forecasts. Magnitudes sized off historical sensitivity; AI-generated from today's extract pass.

6 · Today's themes

Weather watch (next 7d) - Storm · GB · Fri 08 – Thu 14 May — peak gust 48 m/s (~172 km/h) on Sun 10 May. GB wind capacity is large — DA likely soft. Cut-off risk if gusts exceed safety thresholds; opposite tail (sudden tightening) possible. - Storm · FR · Sat 09 – Mon 11 May — peak gust 49 m/s (~176 km/h) on Mon 11 May. Strong wind boost to French generation; FR may export to neighbours. DA print likely below seasonal norm; watch FR-GB IFA flow toward GB.

Watchlist (1–4 weeks) - Hormuz shipping corridor status updates; impact on LNG/crude flows to NW Europe. - Libya production ramp timeline and Italy pipeline utilization rate.

Risk framing — built within a discipline of clear limits and continuous monitoring; observations here are framed as risk inputs, not directional calls. Positioning decisions remain with the desk. Methodology + sources: README §Methodology. Numbers auditable via the snapshot JSONs. Rule-based / informational — not investment advice.